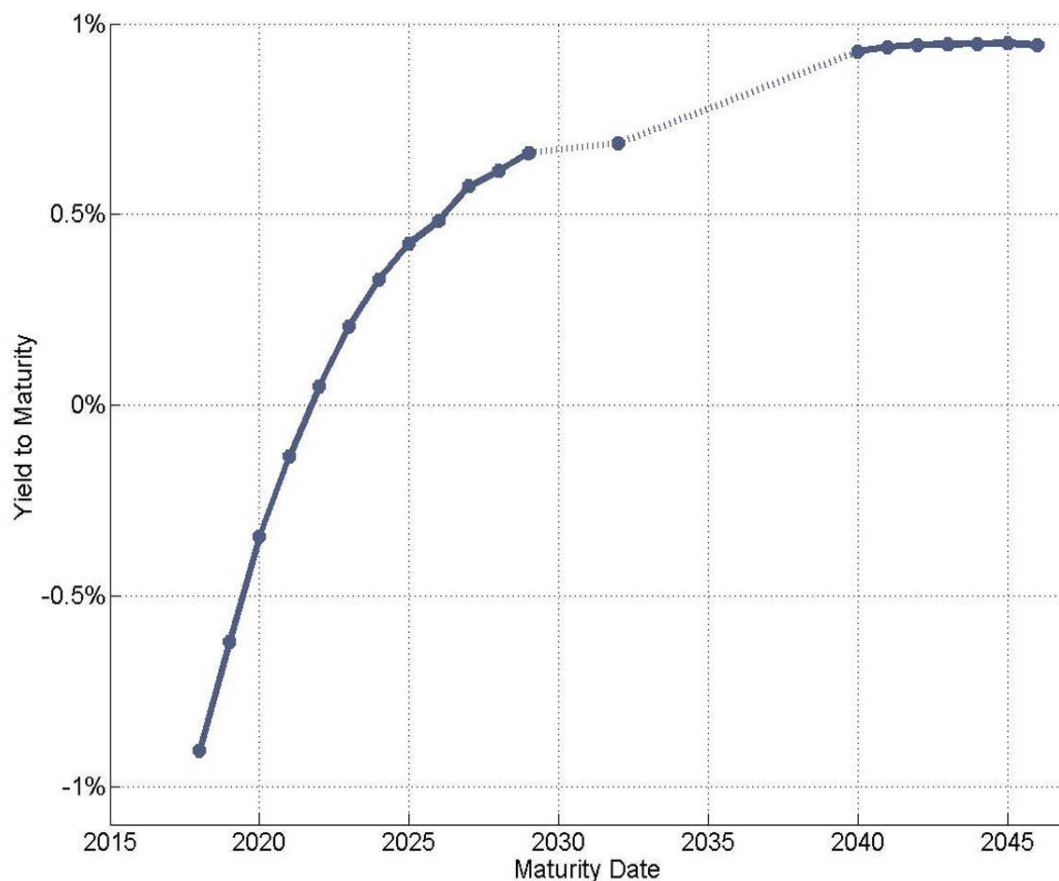


Though surprising at the time, negative yields for TIPS have become much more the norm in recent years.

Exhibit 7.4 shows the TIPS yield curve for January 3, 2017. Yields are negative for TIPS maturing prior to 2022 and positive beyond that, although the longest ones do not even reach 1 percent. The Treasury stopped issuing thirty-year TIPS in the early 2000s, and in 2009 they switched from issuing new twenty-year TIPS back to issuing new thirty-year TIPS. That is why you see gaps in the yield curve—represented by dashed lines in the exhibit—with no TIPS maturity in 2030–31 and 2033–39.

Exhibit 7.4

Yield Curve for US Treasury Inflation-Protected Securities, January 3, 2017



Source: *Wall Street Journal* Market Data Center.